
First Quarter 2015 Earnings Presentation

May 1, 2015

Agenda

Strategic Review

Edward Tilly

Chief Executive Officer

Financial Review

Alan Dean

*Executive Vice President,
CFO and Treasurer*

Questions and Answers

Edward Tilly

Alan Dean

Edward Provost

President and Chief Operating Officer

Forward-Looking Statements

This press release may contain forward-looking statements, within the meaning of the Private Securities Litigation Reform Act of 1995. Forward-looking statements are those statements that reflect our expectations, assumptions or projections about the future and involve a number of risks and uncertainties. These statements are only predictions based on our current expectations and projections about future events. There are important factors that could cause actual results to differ materially from that expressed or implied by the forward-looking statements, including: the loss of our right to exclusively list certain index options and futures products; increasing price competition in our industry; compliance with legal and regulatory obligations and obligations under agreements with regulatory agencies; decreases in the amount of trading volumes or a shift in the mix of products traded on our exchanges; our ability to operate our business, monitor and maintain our systems or program them so that they operate correctly, including in response to increases in trading volume and order transaction traffic; the accuracy of our estimates and expectations; legislative or regulatory changes; increasing competition by foreign and domestic entities; our index providers ability to perform under our agreements; our ability to operate our business without violating the intellectual property rights of others and the costs associated with protecting our intellectual property rights; our ability to maintain access fee revenues; our ability to protect our systems and communication networks from security risks, including cyber-attacks; economic, political and market conditions; our ability to attract and retain skilled management and other personnel; our ability to maintain our growth effectively; our dependence on third party service providers; and the ability of our compliance and risk management methods to effectively monitor and manage our risks.

More detailed information about factors that may affect our performance may be found in our filings with the SEC, including in our Annual Report on Form 10-K for the year ended December 31, 2014 and other filings made from time to time with the SEC.

Strategic Review
Edward Tilly
CEO

Expanding Our Suite of Premium Products and Global Reach

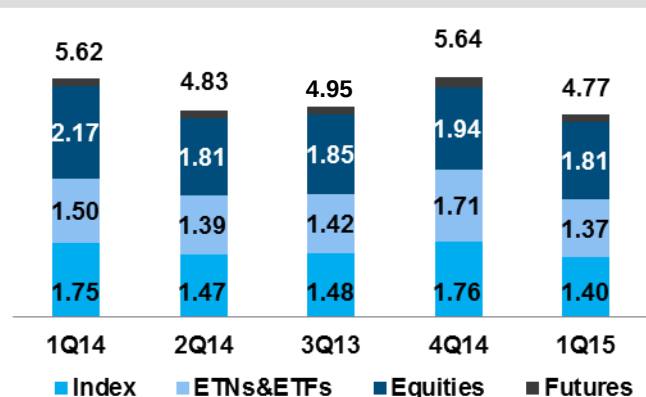
Despite challenging volume conditions, made significant progress on key initiatives

- Secured rights to trade numerous Russell and FTSE Index products
- Began exclusive trading in Russell 2000 Index options at CBOE and C2 on April 1
- Launched options on two well-known MSCI benchmarks on April 21
- Extended trading hours for SPX and VIX[®] options in March

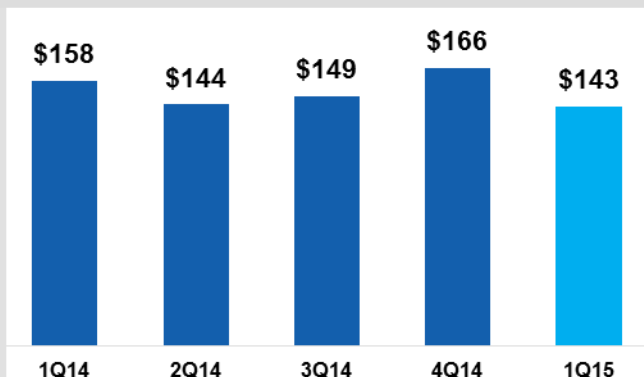
1Q15 Revenue and Earnings Reflect Impact of Lower Trading Volumes

Volume down across each product category

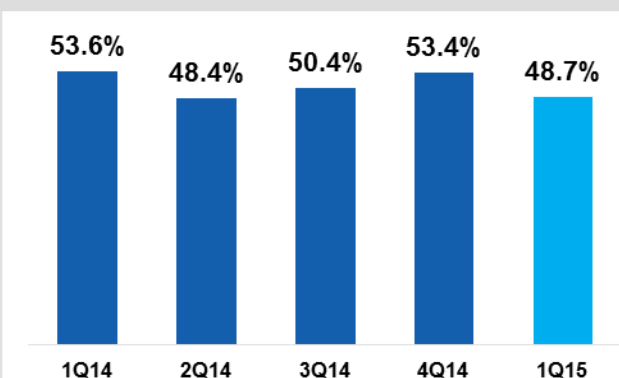
Total ADV by Product (in millions)



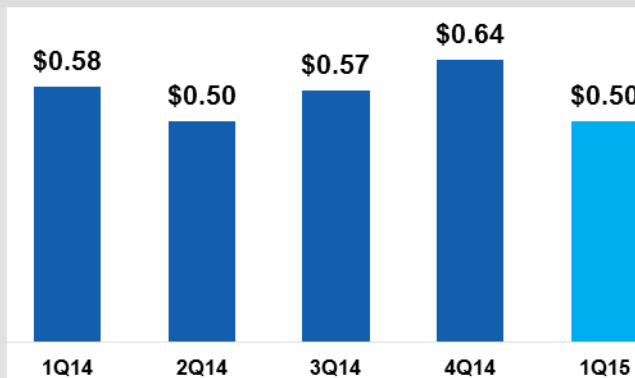
Operating Revenue (in millions)



Adjusted Operating Margin¹



Adjusted Diluted EPS¹



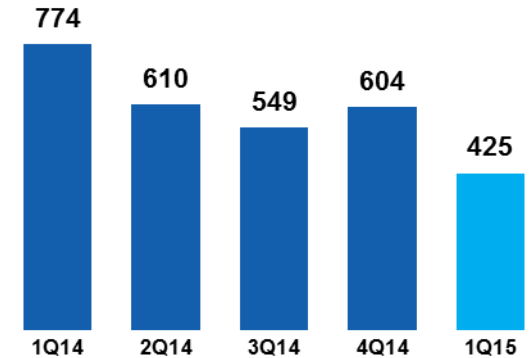
¹Adjusted to reflect the impact of certain items. See Appendix for "Non-GAAP Information."

Continue to Lay the Foundation for Future Growth

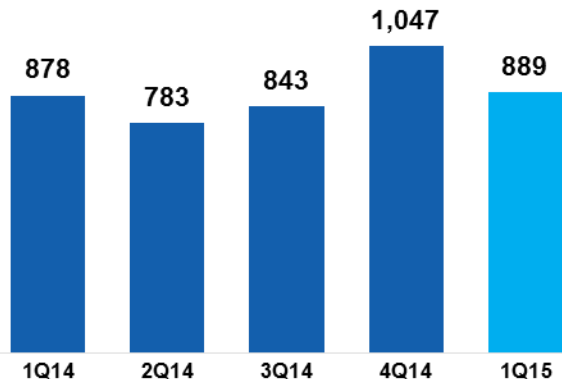
Decrease in VIX options trading

- Volatility trades work especially well as a hedge against sharp market declines
- Absent real concerns about a sharp, sustained market pullback
 - Less utility for volatility products
 - Use other index products, such as SPX options, for directional exposure to stock prices
 - SPX options volume up 1% in 1Q15 YOY
 - Users generally expect volume and open interest to pick up as conditions change
- Believe conditions are generally cyclical

VIX Options ADV (in thousands)



SPX Options ADV (in thousands)



Advancing CBOE's Index Growth Story



Collaborate

Create

Connect

Collaborate

Growing roster of CBOE indexes



Collaborate With New Index Providers

Forging collaborative partnerships to expand index complex

- **December 2014 licensing agreement with MSCI**
- **CBOE exclusive U.S. exchange for trading MSCI Index options**
- **First CBOE MSCI options launched April 21:**
 - MSCI EAFE Index (Europe, Australasia, Far East)
 - MSCI Emerging Markets Index
- **Adds global dimension to CBOE's index options franchise**
- **MSCI volatility products a future possibility**



Collaborate With New Index Providers

CBOE entered into an exclusive licensing agreement with London Stock Exchange Group

- CBOE is the exclusive provider for cash-settled listed options to trade in the U.S. on more than 24 FTSE and Russell Indexes
- On April 1, became sole provider of listed Russell 2000 (RUT) options
 - Trades exclusively on CBOE and C2
- Plan to launch FTSE 100 index options and other Russell and FTSE products later this year
- Expands our product line across new asset classes and markets
 - Creates new trading opportunities for customers

The Russell Index logo, featuring the word "RUSSELL" in a serif font.The FTSE logo, featuring the letters "FTSE" in a bold, sans-serif font.

Creating More Trading Opportunities and Synergies

Leveraging cross-marketing opportunities and education

- CBOE's expanding suite of index products will allow market participants to hedge and trade:

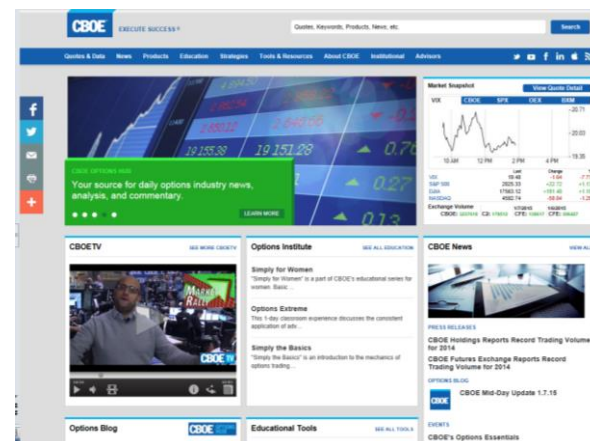


Connecting With An Expanding Customer Base

Leveraging CBOE's ability to connect customers globally across a range of efficient channels

➤ Leveraging CBOE's educational resources

- The Options Institute
- CBOE TV
- CBOE.com
- CBOE's social media platform
- CBOE's Risk Management Conferences (RMC)



➤ Expanding annual RMC beyond the U.S. and Europe to include Asia

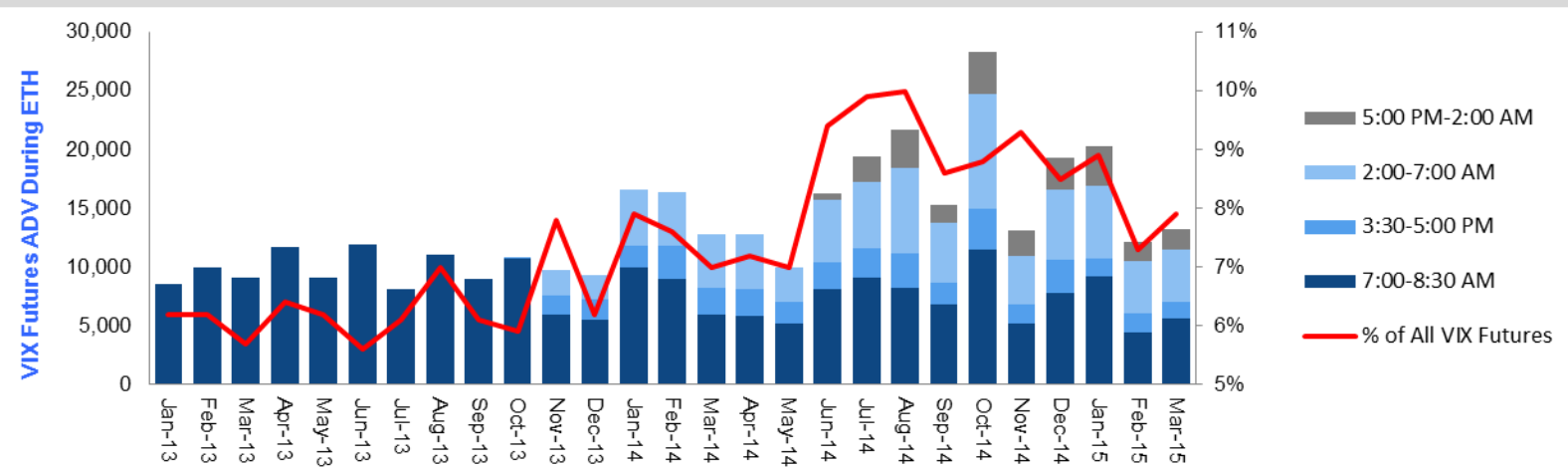


Connect: Broadening Access to Our Premium Products

About 8% of VIX futures trading during non-U.S. hours YTD¹

- Added extended trading hours session for VIX and SPX options
 - VIX options started March 2 and SPX options started on March 9
 - New session runs from 2:00 a.m. to 8:15 a.m. CT, Monday through Friday

VIX Futures ADV During Non-U.S. Trading Hours (ETH) - By Time Period²



¹Through March 31, 2015

²Extended hours to nearly 24X5 on June 22, 2014

Create: Weekly VIX Options and Futures

Launching Weeklys on VIX options and futures¹

- Plan to launch Weeklys on futures this July, with options to follow
- VIX Weeklys will complement VIX futures and options
 - As SPX Weeklys complement our SPX product
- Provides volatility exposures that more precisely track our benchmark VIX index
 - Allows users to fine tune the timing of their volatility trades and hedge against event-driven market moves
 - Investors will be able to trade expiring VIX and SPX contracts each week
 - Creates more trading opportunities

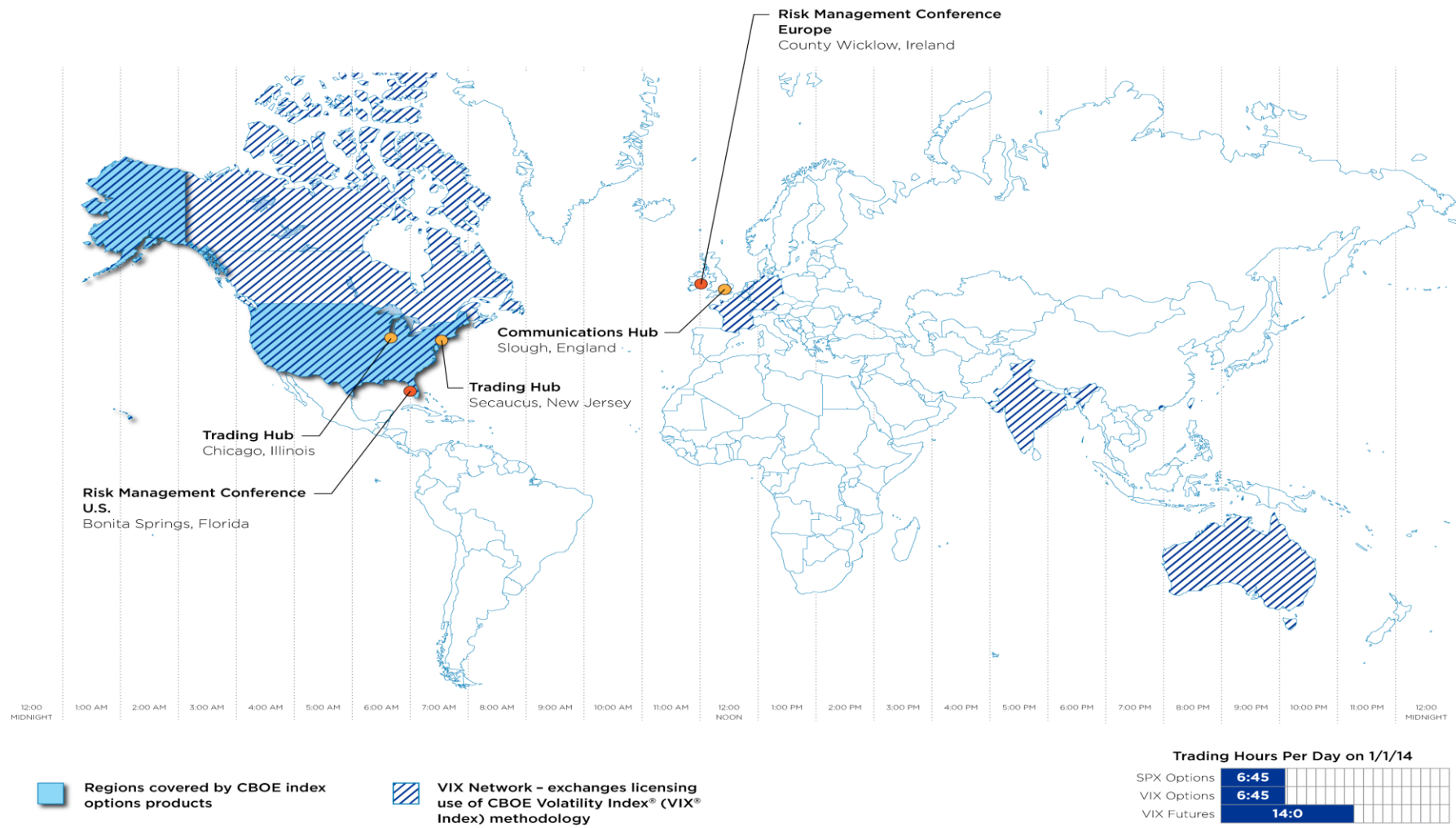


¹Pending regulatory approval

Create New Trading Platform – CBOE VectorSM

Systems development is deeply embedded in CBOE's value proposition

- **Development of next generation of trading technology is underway**
- **Leveraging our in-house trading and technology expertise**
- **Building a customized, state-of-the-art platform**
 - Responds to the trading needs of our customers
 - Best supports CBOE's unique product set
- **Continue to drive optimal performance of our current system**
- **Build out and implement new systems for CFE first**
 - CFE projected for the second half of 2016, with CBOE and C2 to follow





Financial Review
Alan Dean
EVP, CFO and Treasurer

1Q15 Financial Overview

Adjusted Basis¹ (in millions, except EPS and RPC)	1Q15	1Q14	\$ Change	% Change
Operating Revenues	\$142.8	\$157.9	-\$15.1	-10%
Adjusted Operating Expenses	73.3	73.3	--	--
Adjusted Operating Income	\$ 69.5	\$ 84.6	-\$15.1	-18%
<i>Adjusted Operating Margin %</i>	<i>48.7%</i>	<i>53.6%</i>		<i>-490 bps</i>
Adjusted Net Income Allocated to Common Stockholders	\$ 42.3	\$ 50.0	-\$7.7	-15%
Adjusted Diluted EPS	\$ 0.50	\$ 0.58	-\$0.08	-14%
Total ADV	4.77	5.62		-15%
Revenue per Contract	\$0.340	\$0.329	\$0.011	3%

¹Adjusted to reflect the impact of certain items. See Appendix for "Non-GAAP Information."

Overview of Operating Revenues

Transaction fees key driver of revenue decline

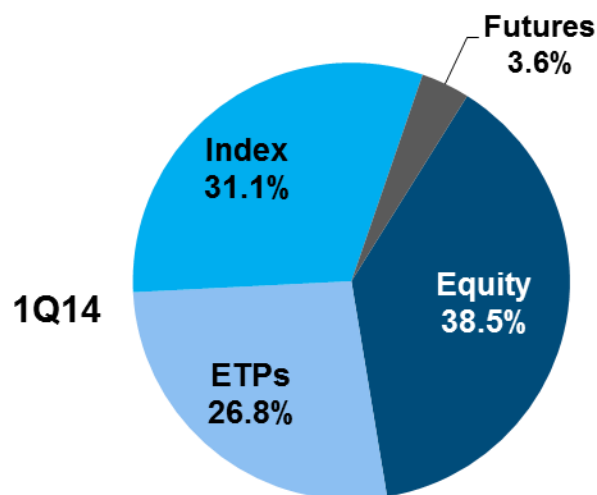
➤ Transaction fees down \$14.1MM

- 15% decrease in trading volume
- 3% increase in RPC
 - Lower volume discounts and incentives, offset somewhat by unfavorable shift in product mix

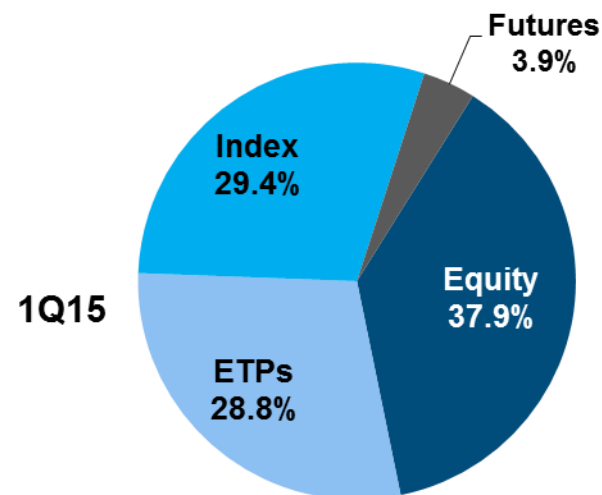
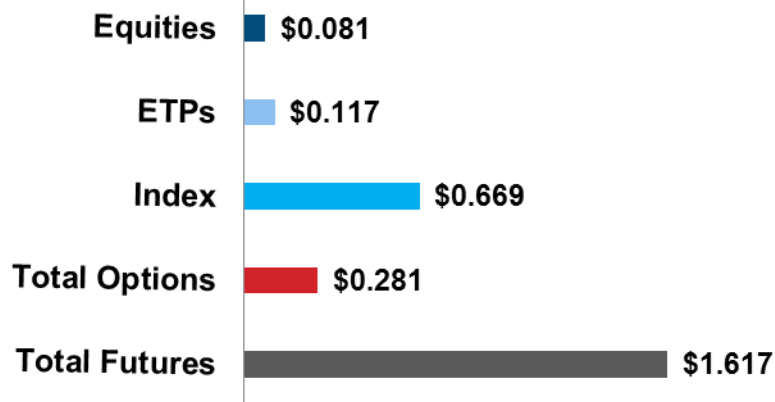
Operating Revenues (in millions)	1Q15	1Q14	% Chg
Transaction fees	\$ 98.7	\$ 112.8	-12%
Access fees	13.7	15.2	-10%
Exchange services and other fees	9.7	9.5	2%
Market data fees	8.0	7.1	11%
Regulatory fees	8.4	9.9	-15%
Other revenue	4.3	3.4	26%
Total Operating Revenues	\$142.8	\$157.9	-10%

Increase in RPC Primarily Reflects Lower Volume-Based Incentives

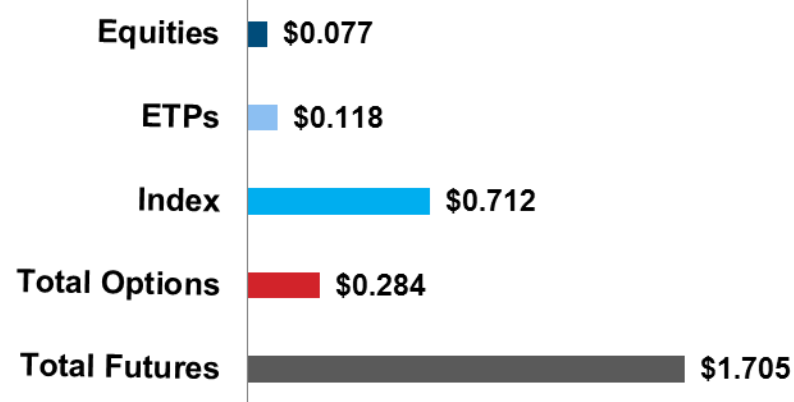
Trading volume mix and RPC 1Q15 versus 1Q14



1Q14 RPC \$0.329

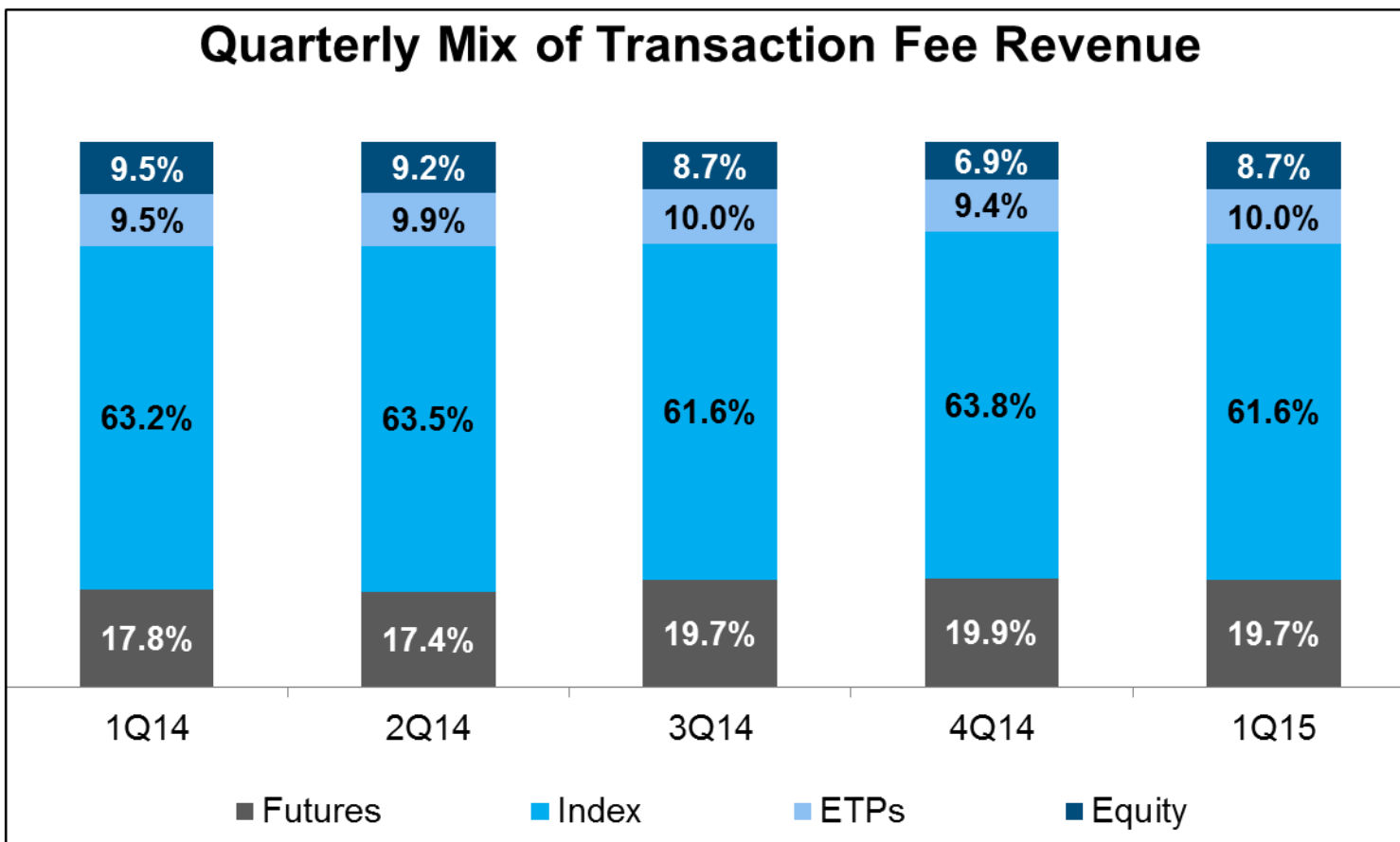


1Q15 RPC \$0.340



Proprietary Products Account for Growing Percentage of Transaction Fee Revenue

Index options and futures contracts accounted for 81.3% of transaction fees in 1Q15, up from 81.0% in 1Q14



Other Factors Influencing Revenue

➤ Access fees declined \$1.5MM

- Decrease in trading permits

➤ Regulatory fees down \$1.5MM

- Lower trading volume industrywide
- Elimination of fees related to CBSX
- Lower rate for ORF in 1Q15 vs 1Q14

➤ Other revenue up \$0.9MM

- Primarily due to increase in fines

➤ Market data fees up \$0.9MM

- Primarily due to increase in revenue from CBOE's market data services

Operating Revenues (in millions)	1Q15	1Q14	% Chg
Transaction fees	\$ 98.7	\$ 112.8	-12%
Access fees	13.7	15.2	-10%
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Other revenue	4.3	3.4	26%
Total Operating Revenues	\$142.8	\$157.9	-10%

Disciplined Control of Expenses

Key drivers:

➤ Lower expenses -

- Comp and benefits down \$5.4MM
- Royalty fees down \$1.7MM

➤ Higher expenses -

- Prof. fees and outside services up \$4.6MM
- Deprec. and amortization up \$1.8MM
- Technology support services up \$0.6MM

Adjusted Operating Expenses ¹ (in millions)	1Q15	1Q14	% Chg
Compensation and benefits	\$25.4	\$30.8	-18%
Depreciation and amortization	10.4	8.6	21%
Technology support services	5.3	4.7	13%
Professional fees and outside services	12.0	7.4	62%
Royalty fees	14.2	15.9	-11%
Order routing	0.8	1.1	27%
Travel and promotional	2.5	2.0	25%
Facilities costs	1.4	1.3	5%
Other expenses	1.3	1.5	-7%
Total Adjusted Operating Expenses	\$73.3	\$73.3	--

¹Adjusted to reflect the impact of certain items. See appendix for "Non-GAAP Information."
May not foot due to rounding.

Core Operating Expenses In Line With Prior Year

Key drivers:

➤ Prof. fees and outside services up \$4.6MM

- Primarily due to outsourcing of certain regulatory services to FINRA

➤ Technology support up \$0.6MM

- Mainly software and maintenance

➤ Travel and promotions up \$0.5MM

- Higher advertising costs

➤ Comp and benefits down \$5.4MM

- Primarily due to lower costs for salaries, stock-based compensation and incentive compensation

Core Operating Expenses ¹ (in millions)	1Q15	1Q14	% Chg
Compensation and benefits	\$25.4	\$30.8	-18%
Technology support services	5.3	4.7	13%
Professional fees and outside services	12.0	7.4	62%
Travel and promotional	2.5	2.0	25%
Facilities costs	1.4	1.3	5%
Other expenses	1.3	1.5	-7%
Total	\$47.9	\$47.7	1%

¹Adjusted to reflect the impact of certain items. See appendix for "Non-GAAP Information."
May not foot due to rounding.

2015 Full-Year Guidance

As of May 1, 2015 (\$ in millions)	Current 2015 Full-Year Guidance	Prior 2015 Full-Year Guidance
Core operating expenses	\$190 to \$194	\$195 to \$199
Continuing stock-based compensation ¹	\$12	\$12
Depreciation and amortization	\$46 to \$48	\$46 to \$48
Capital expenditures	\$37 to \$40	\$37 to \$40
Effective tax rate	38.5% to 39.5%	38.5% to 39.5%

¹Stock-based compensation expense is included in employee costs.

Volume-based Expenses

➤ Royalty fees down \$1.7MM

- Lower trading volume in licensed products
 - Includes index options and VIX futures

Volume-based Expenses (in millions)	1Q15	1Q14	% Chg
Royalty fees	\$ 14.2	\$ 15.9	-11%
Order-routing fees	\$ 0.8	\$ 1.1	-27%
Total	\$ 15.0	\$ 17.0	-12%

May not foot due to rounding.

Enhancing Stockholder Value

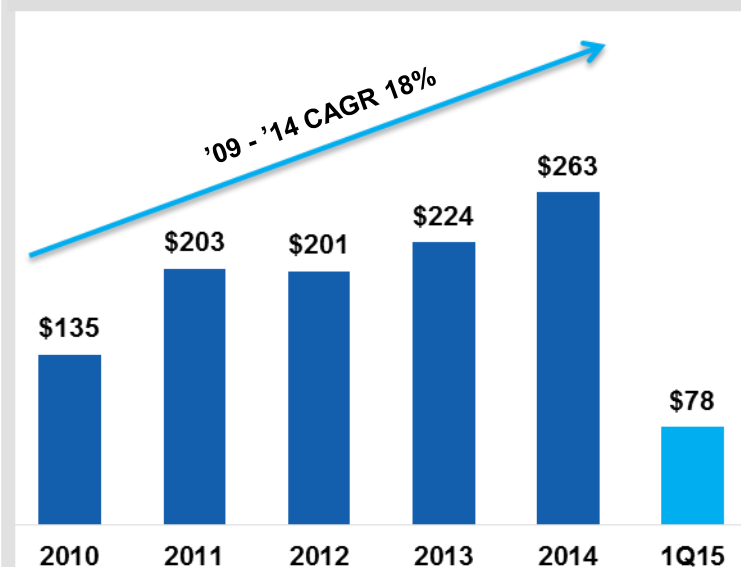
Strong cash flow generation and disciplined approach to managing cash

- Cash of \$138MM at quarter end
- Generated \$78MM in operating cash flow in 1Q15
- 1Q15 Capital Outlays

Regular dividends	\$	18 MM
Share repurchases ¹		34 MM
Capital expenditures		8 MM
OCC capital funding		30 MM
Total	\$	90 MM

¹Includes stock purchased under repurchase plan and from employees

Operating Cash Flow (\$ in millions)

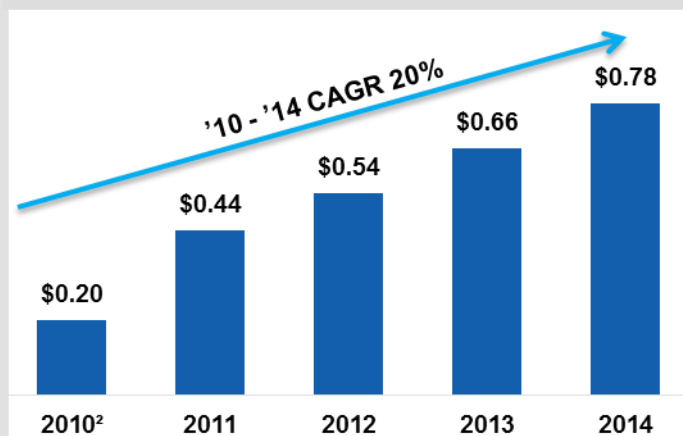


Enhancing Stockholder Value

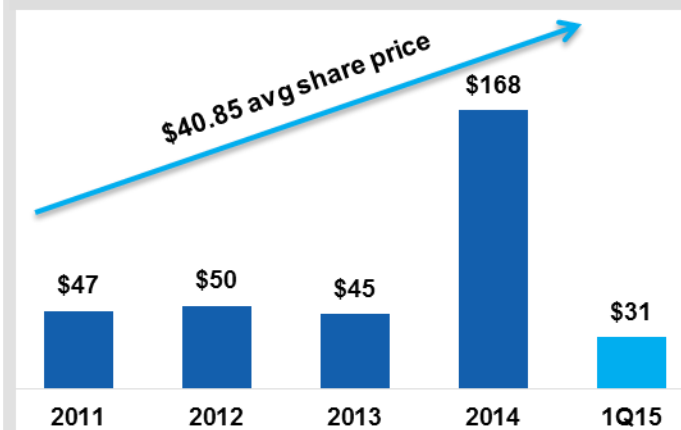
Priorities regarding use of cash have not changed

- Reinvest in our business to fund growth
- Steady, consistent dividend growth
- Share repurchases

Annual Dividend Rate Per Share¹



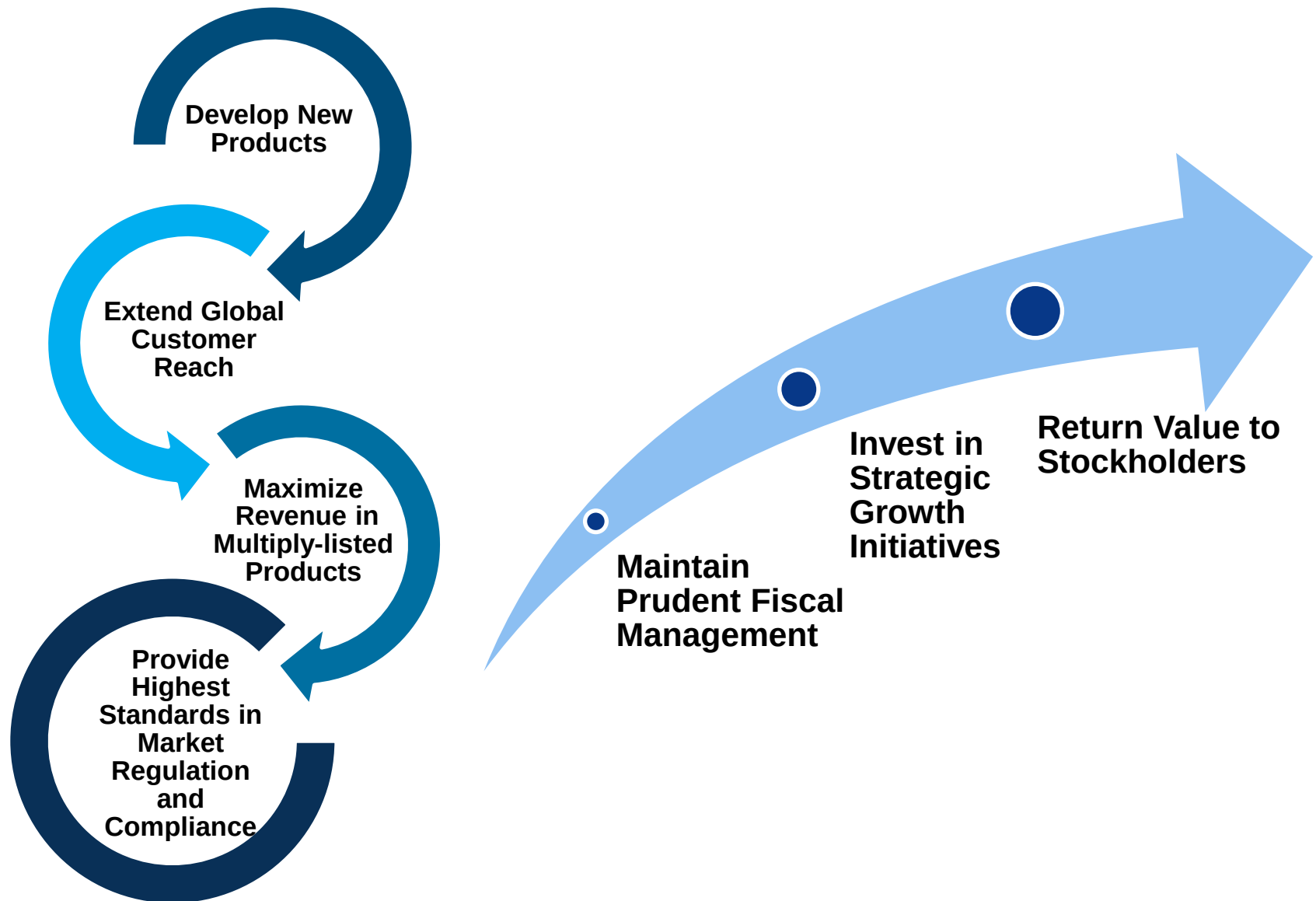
Cash Used Under Share Repurchase Plan (\$ in millions)



¹Excludes special dividends

²Dividends paid for last two quarters of the year, post IPO

Remain Focused on Strategic Growth Initiatives



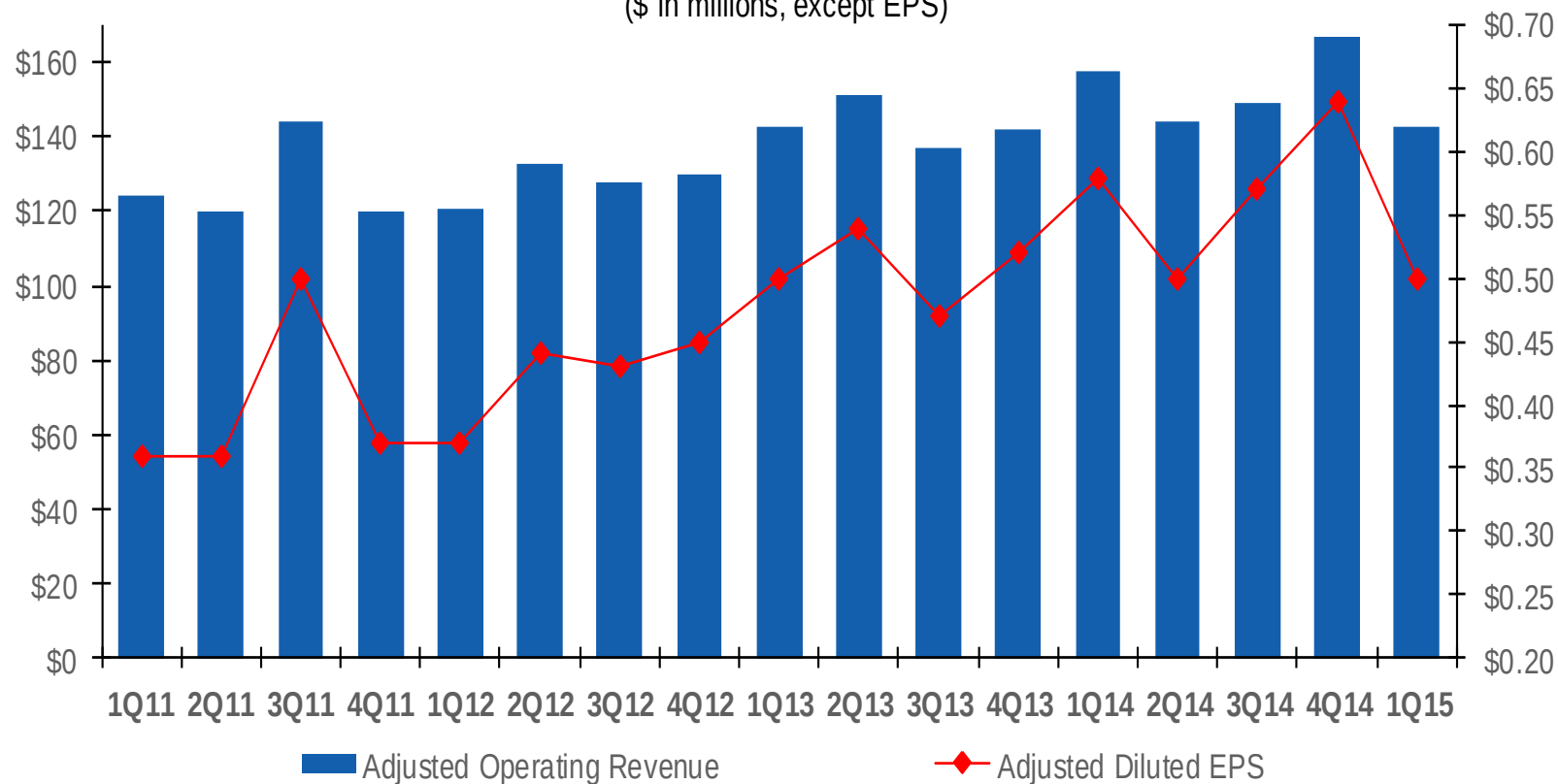
Questions & Answers

Appendix Materials

Optimistic About Long-term Growth Prospects

Quarterly Adjusted Operating Revenue and Diluted EPS¹

(\$ in millions, except EPS)

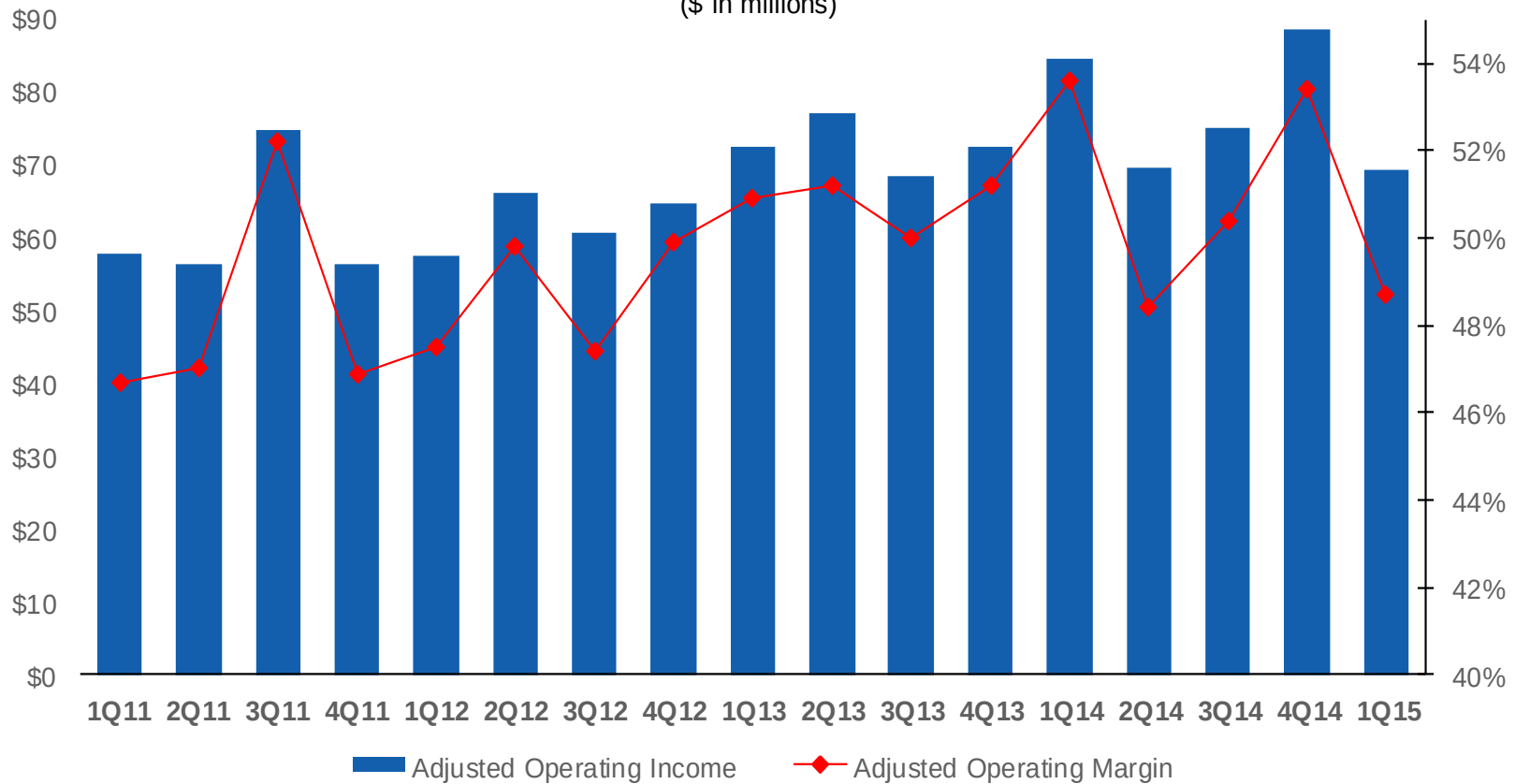


¹Adjusted to reflect the impact of certain items. See Appendix for "Non-GAAP Information."

Well Positioned to Gain Additional Leverage

Quarterly Adjusted Operating Income and Margin¹

(\$ in millions)

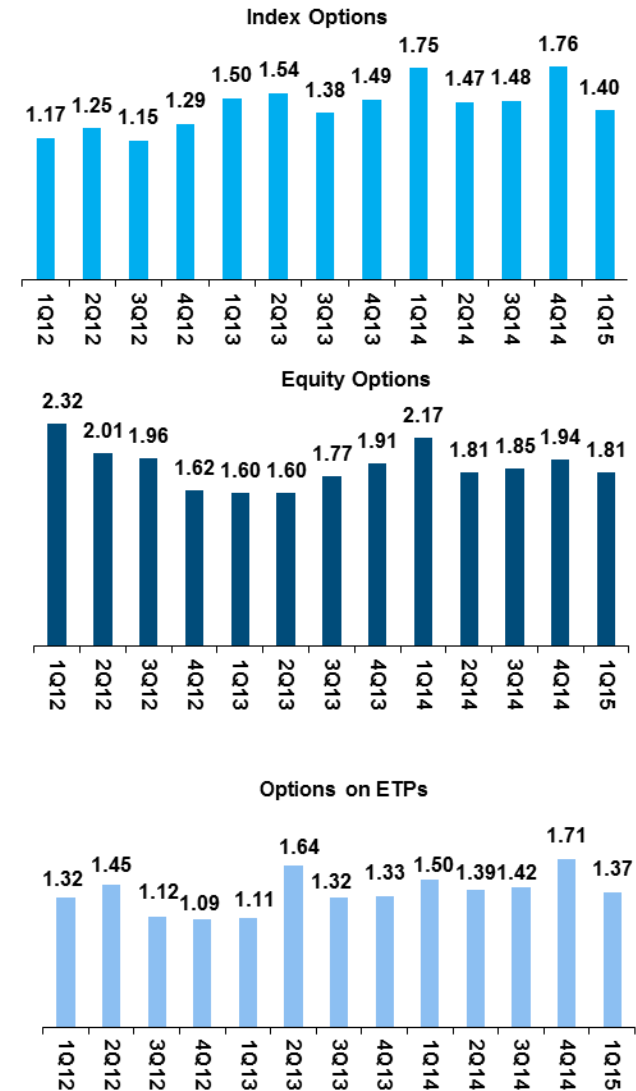
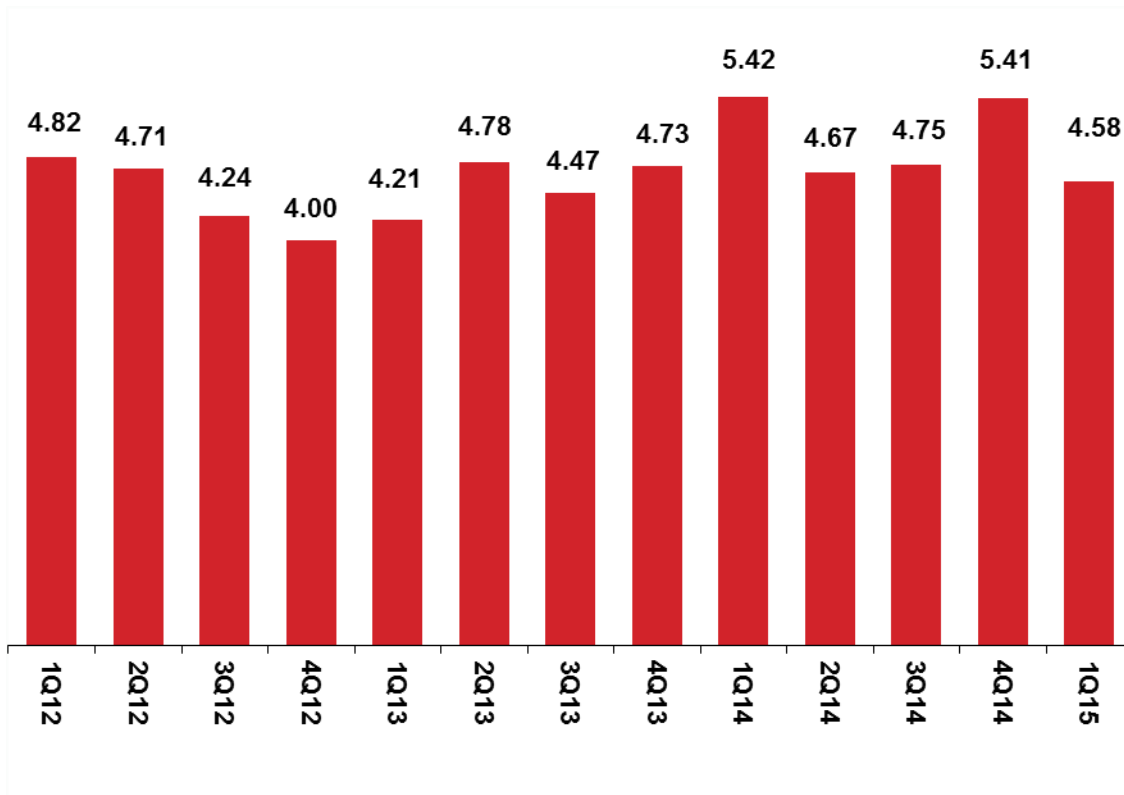


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Quarterly Options ADV

CBOE Holdings Quarterly Options ADV

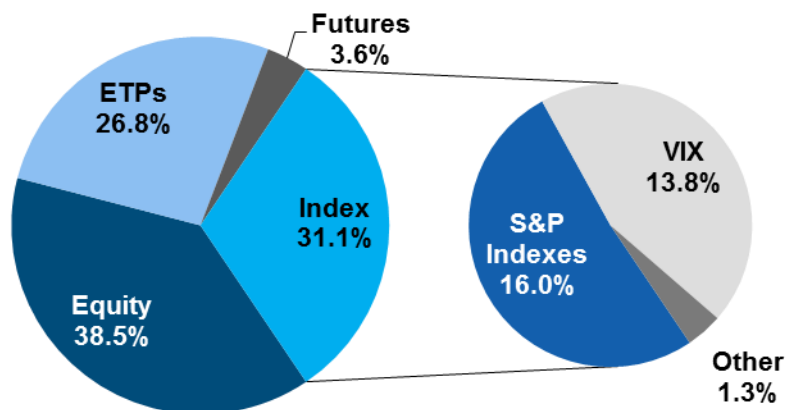
(contracts in millions)



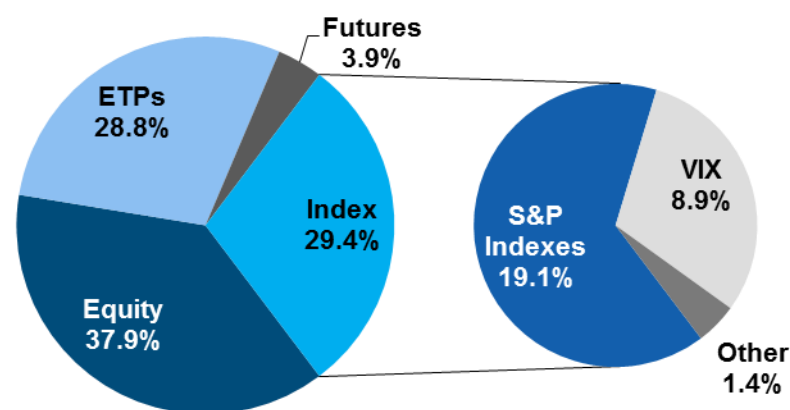
Trading Volume Mix and RPC 1Q14 vs 1Q15

RPC change primarily reflects higher volume-based incentives

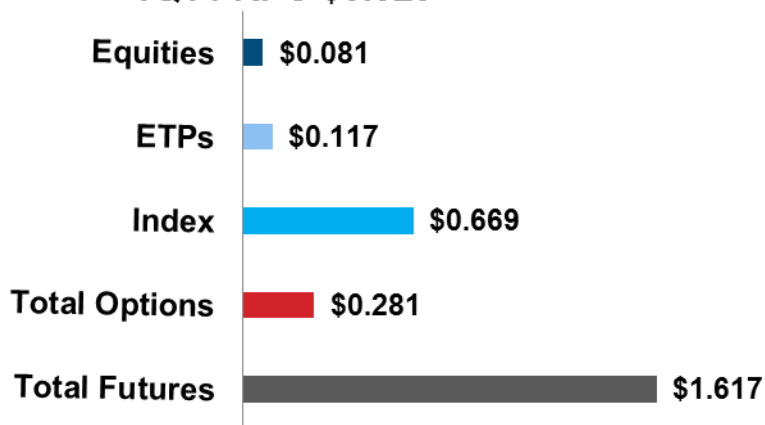
1Q14 Trading Volume Mix



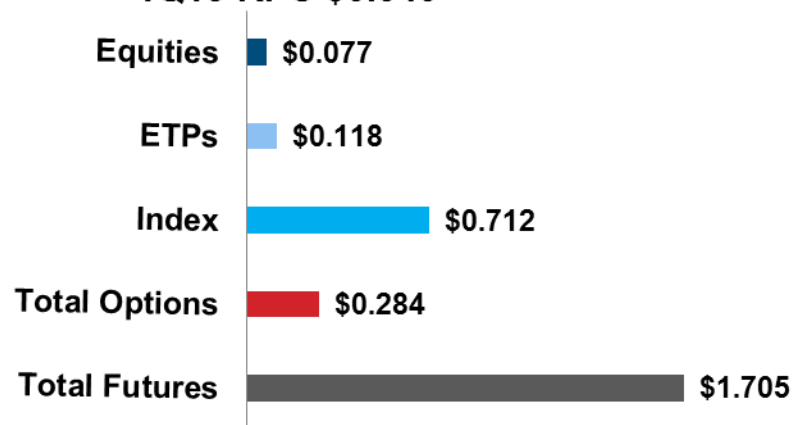
1Q15 Trading Volume Mix



1Q14 RPC \$0.329



1Q15 RPC \$0.340



CBOE Holdings Rolling 3-Month RPC

2015	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Equities	\$0.069	\$0.070	\$0.077									
Indexes	0.702	0.704	0.712									
Exchange-traded products	0.111	0.115	0.118									
Total options RPC	0.279	0.283	0.284									
Futures	1.647	1.649	1.705									
Total RPC	\$0.333	\$0.340	\$0.340									

2014	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Equities	\$0.079	\$0.079	\$0.081	\$0.082	\$0.081	\$0.079	\$0.074	\$0.076	\$0.077	\$0.078	\$0.074	\$0.068
Indexes	0.664	0.667	0.669	0.674	0.674	\$0.670	\$0.671	\$0.677	0.680	0.690	0.692	0.696
Exchange-traded products	0.124	0.119	0.117	0.113	0.113	\$0.111	\$0.112	\$0.114	0.115	0.112	0.107	0.105
Total options RPC	0.273	0.281	0.281	0.277	0.275	\$0.275	\$0.275	\$0.281	0.275	0.288	0.279	0.284
Futures	1.602	1.614	1.617	1.610	1.616	\$1.639	\$1.651	\$1.631	1.625	1.598	1.628	1.616
Total RPC	\$0.317	\$0.329	\$0.329	\$0.325	\$0.321	\$0.322	\$0.324	\$0.336	\$0.329	\$0.344	\$0.331	\$0.340

2013	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Equities	\$0.149	\$0.153	\$0.140	\$0.114	\$0.094	\$0.090	\$0.082	\$0.081	\$0.077	\$0.076	\$0.076	\$0.075
Indexes	0.665	0.670	0.671	0.679	0.674	0.675	0.670	0.671	0.669	0.666	0.666	0.666
Exchange-traded products	0.194	0.181	0.155	0.127	0.119	0.119	0.121	0.122	0.123	0.124	0.126	0.125
Total options RPC	0.340	0.341	0.333	0.308	0.295	0.289	0.282	0.278	0.273	0.278	0.275	0.275
Futures	1.484	1.560	1.618	1.598	1.594	1.544	1.544	1.533	1.559	1.548	1.556	1.565
Total RPC	\$0.376	\$0.382	\$0.378	\$0.357	\$0.341	\$0.334	\$0.324	\$0.321	\$0.315	\$0.320	\$0.315	\$0.316

2012	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
Equities	\$0.151	\$0.128	\$0.110	\$0.112	\$0.117	\$0.123	\$0.124	\$0.122	\$0.118	\$0.121	\$0.124	\$0.134
Indexes	0.640	0.651	0.658	0.667	0.673	0.677	0.680	0.684	0.682	0.675	0.670	0.670
Exchange-traded products	0.206	0.188	0.171	0.172	0.176	0.180	0.177	0.177	0.177	0.180	0.183	0.186
Total options RPC	0.297	0.275	0.261	0.267	0.279	0.288	0.289	0.286	0.287	0.294	0.309	0.322
Futures	1.474	1.610	1.697	1.655	1.650	1.607	1.598	1.626	1.606	1.573	1.473	1.442
Total RPC	\$0.308	\$0.289	\$0.280	\$0.290	\$0.304	\$0.314	\$0.316	\$0.315	\$0.317	\$0.326	\$0.342	\$0.355

Annual Core Operating Expenses¹

(\$ in thousands)

	2014	% rev	2013	% rev	2012	% rev	2011	% rev	2010	% rev
Total Operating Expenses	\$303,424	49%	\$286,236	50%	\$268,241	52%	\$266,512	52%	\$269,763	62%
Less:										
Depreciation and Amortization	39,913	6%	34,488	6%	31,485	6%	34,094	7%	29,891	7%
Accelerated stock-based compensation	2,530	-	3,996	1%	343	-	453	-	12,968	3%
Severance	1,863	-	-	-	-	-	3,709	1%	-	-
Estimated liability/expense related to SEC investigation	0	-	1,000	-	5,000	1%	-	-	-	-
Volume-based Expense:										
Royalty Fees	66,110	11%	56,576	10%	46,135	9%	47,822	9%	41,353	10%
Trading Volume Incentives	4,080	1%	4,355	1%	6,275	1%	14,239	3%	21,294	5%
Core Operating Expenses (non-GAAP)¹:	\$188,928	31%	\$185,821	32%	\$179,003	35%	\$166,195	33%	\$164,257	38%
Less: Continuing stock-based compensation	13,047	2%	16,828	3%	12,005	2%	12,166	2%	7,833	2%
Core Operating Expenses excluding continuing stock-based compensation (non-GAAP)¹:	\$175,881	28%	\$168,993	30%	\$166,998	33%	\$154,029	30%	\$156,424	36%
Core Operating Expense Detail:										
Employee Costs	\$117,341	19%	\$114,087	20%	\$103,853	20%	\$100,292	20%	\$93,275	22%
Data Processing	19,189	3%	17,898	3%	19,603	4%	17,933	4%	19,501	5%
Outside Services	31,976	5%	34,473	6%	36,300	7%	27,310	5%	31,245	7%
Travel and Promotion Expenses	9,046	1%	9,806	2%	10,006	2%	9,812	2%	9,569	2%
Facilities Costs	5,721	1%	5,053	1%	5,066	1%	5,400	1%	5,801	1%
Other Expenses	5,655	1%	4,504	1%	4,175	1%	5,448	1%	4,866	1%
Number of Full Time Employees at year end	520		650		605		596		581	

¹Please see our disclaimer regarding non-GAAP financial measures.

May not foot due to rounding

Quarterly Core Operating Expenses¹

(\$ in thousands)

	1Q 2015	% rev	4Q 2014	% rev	3Q 2014	% rev	2Q 2014	% rev	1Q 2014	% rev
Total Operating Expenses	\$73,286	51%	\$79,525	48%	\$73,826	50%	\$74,226	52%	\$75,847	48%
Less:										
Depreciation and amortization	10,402	7%	11,053	7%	10,361	7%	9,895	7%	8,604	5%
Accelerated stock-based compensation	-	-	-	-	-	-	-	-	2,530	2%
Severance expense	-	-	1,863	1%	-	-	-	-	-	-
Volume-based expense:										
Royalty fees	14,150	10%	19,266	12%	16,235	11%	14,707	10%	15,902	10%
Trading volume incentives	787	1%	874	1%	961	1%	1,120	1%	1,126	1%
Core Operating Expenses (non-GAAP)¹:	\$47,947	34%	\$46,469	28%	\$46,269	31%	\$48,504	34%	\$47,685	30%
Less: Continuing stock-based compensation	2,655	2%	2,098	1%	2,109	1%	4,457	3%	4,383	3%
Core Operating Expenses excluding continuing stock-based compensation (non-GAAP)¹:	\$45,292	32%	\$44,371	27%	\$44,160	30%	\$44,047	31%	\$43,302	27%
Core Operating Expense Detail:										
Employee costs	\$25,439	18%	\$27,493	17%	\$28,698	19%	\$30,306	21%	\$30,844	20%
Data processing	5,325	4%	4,915	3%	4,769	3%	4,783	3%	4,721	3%
Outside services	11,950	8%	8,539	5%	8,204	6%	7,855	5%	7,378	5%
Travel and promotional expenses	2,501	2%	2,727	2%	1,885	1%	2,446	2%	1,987	1%
Facilities costs	1,384	1%	1,445	1%	1,373	1%	1,590	1%	1,313	1%
Other expenses	1,348	1%	1,350	1%	1,340	1%	1,524	1%	1,442	1%
Total	\$47,947		\$46,469		\$46,269		\$48,504		\$47,685	
Number of full-time employees at quarter end	520		520		639		661		656	

¹Please see our disclaimer regarding non-GAAP financial measures.

May not foot due to rounding

GAAP to Non-GAAP Reconciliation For Years 2010 and 2011

GAAP to Non-GAAP Reconciliation
(in thousands, except per share amounts)

	3Q10	4Q10	1Q11	2Q11	3Q11	4Q11	FY2010	FY2011
<u>Reconciliation of GAAP Net Income Allocated to Common Stockholder to Non-GAAP</u>								
GAAP net income allocated to common stockholders	\$ 20,020	\$ 30,687	\$ 32,089	\$ 32,609	\$ 40,597	\$ 31,287	\$ 98,166	\$ 136,582
Less: Recognition of prior-period revenue		(4,406)					(4,406)	
Add: Accelerated stock-based compensation	10,965	2,004	340	113			12,968	453
Add: Severance expense pursuant to an executive employment agreement						3,709		3,709
Add: Impairment change		1,620	460				1,620	460
Income tax benefit/(expense) related to the items above	(4,461)	291	(337)	(46)		(1,478)	(4,034)	(1,861)
Add: Income tax provision adjustment					4,223	(322)		3,901
Net income allocated to participating securities - effect on reconciling items	(144)	11	(11)	(2)	(75)	(32)	(76)	(109)
Adjusted net income allocated to common stockholders	\$ 26,380	\$ 30,207	\$ 32,540	\$ 32,674	\$ 44,745	\$ 33,164	\$ 104,238	\$ 143,134

Reconciliation of GAAP Diluted EPS to Non-GAAP

GAAP diluted earnings per common share	\$ 0.20	\$ 0.31	\$ 0.36	\$ 0.36	\$ 0.45	\$ 0.35	\$ 1.03	\$ 1.52
Per share impact of items above	0.06				0.05	0.02	0.06	0.07
Non-GAAP diluted earnings per common share	\$ 0.26	\$ 0.31	\$ 0.36	\$ 0.36	\$ 0.50	\$ 0.37	\$ 1.09	\$ 1.59

Reconciliation of GAAP Operating Margin to Non-GAAP

GAAP operating revenue	\$ 106,015	\$ 117,391	\$ 124,042	\$ 120,290	\$ 143,604	\$ 120,208	\$ 437,104	\$ 508,144
Non-GAAP adjustments noted above		(4,406)					(4,406)	
Adjusted operating revenue	\$ 106,015	\$ 112,985	\$ 124,042	\$ 120,290	\$ 143,604	\$ 120,208	\$ 432,698	\$ 508,144
GAAP operating income	\$ 34,933	\$ 51,854	\$ 57,535	\$ 56,452	\$ 74,966	\$ 52,679	\$ 167,341	\$ 241,632
Non-GAAP adjustments noted above	10,965	(2,402)	340	113	-	3,709	8,562	4,162
Adjusted operating income	\$ 45,898	\$ 49,452	\$ 57,875	\$ 56,565	\$ 74,966	\$ 56,388	\$ 175,903	\$ 245,794
Adjusted operating margin	43.3%	43.8%	46.7%	47.0%	52.2%	46.9%	40.7%	48.4%

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GAAP to Non-GAAP Reconciliation For 2012 and 2013

GAAP to Non-GAAP Reconciliation
(in thousands, except per share amounts)

	1Q12	2Q12	3Q12	4Q12	FY2012	1Q13	2Q13	3Q13	4Q13	FY2013
Reconciliation of GAAP Net Income Allocated to Common Stockholder to Non-GAAP										
GAAP net income allocated to common stockholders	\$ 32,863	\$ 37,903	\$ 45,243	\$ 39,246	\$ 155,254	\$ 41,789	\$ 45,477	\$ 40,955	\$ 45,649	\$ 173,863
Add: Accelerated stock-based compensation	194			149	343	3,180	816			3,996
Add: Estimated liability related to SEC investigation				5,000	5,000		1,000			1,000
Add: Impairment charge						245				245
Income tax benefit/(expense) related to the items above	(80)			(63)	(139)	(1,311)	(313)			(1,611)
Add: Income tax provision adjustment			(7,654)	(5,415)	(13,054)					
Net income allocated to participating securities - effect on reconciling items	(2)		86	4	106	(29)	(22)			(46)
Adjusted net income allocated to common stockholders	\$ 32,975	\$ 37,903	\$ 37,675	\$ 38,921	\$ 147,510	\$ 43,874	\$ 46,958	\$ 40,955	\$ 45,649	\$ 177,447
Reconciliation of GAAP Diluted EPS to Non-GAAP										
GAAP diluted earnings per common share	\$ 0.37	\$ 0.44	\$ 0.52	\$ 0.45	\$ 1.78	\$ 0.48	\$ 0.52	\$ 0.47	\$ 0.52	\$ 1.99
Per share impact of items above			(0.09)		(0.09)	0.02	0.02			0.04
Non-GAAP diluted earnings per common share	\$ 0.37	\$ 0.44	\$ 0.43	\$ 0.45	\$ 1.69	\$ 0.50	\$ 0.54	\$ 0.47	\$ 0.52	\$ 2.03

Reconciliation of GAAP Operating Margin to Non-GAAP

GAAP operating revenue	\$ 121,392	\$ 132,549	\$ 128,319	\$ 130,077	\$ 512,338	\$ 142,705	\$ 150,772	\$ 136,743	\$ 141,830	\$ 572,050
Non-GAAP adjustments noted above										
Adjusted operating revenue	\$ 121,392	\$ 132,549	\$ 128,319	\$ 130,077	\$ 512,338	\$ 142,705	\$ 150,772	\$ 136,743	\$ 141,830	\$ 572,050
GAAP operating income	\$ 57,415	\$ 66,069	\$ 60,861	\$ 59,752	\$ 244,097	\$ 69,430	\$ 75,358	\$ 68,427	\$ 72,599	\$ 285,814
Non-GAAP adjustments noted above	194			5,149	5,343	3,180	1,816			4,996
Adjusted operating income	\$ 57,609	\$ 66,069	\$ 60,861	\$ 64,901	\$ 249,440	\$ 72,610	\$ 77,174	\$ 68,427	\$ 72,599	\$ 290,810
Adjusted operating margin	47.5%	49.8%	47.4%	49.9%	48.7%	50.9%	51.2%	50.0%	51.2%	50.8%

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GAAP to Non-GAAP Reconciliation For 2014 and 2015 YTD

GAAP to Non-GAAP Reconciliation
(in thousands, except per share amounts)

	1Q14	2Q14	3Q14	4Q14	FY2014	1Q15	2Q15	3Q15	4Q15	FY2015
Reconciliation of GAAP Net Income Allocated to Common Stockholder to Non-GAAP										
GAAP net income allocated to common stockholders	\$ 48,528	\$ 42,598	\$ 48,146	\$ 49,119	\$ 188,392	\$ 42,079				
Add: Accelerated stock-based compensation	2,530				2,530					
Add: Sevice expense related to outsourcing certain regulatory services				1,863	1,863					
Add: Impairment charge				3,000	3,000	364				
Add: Tax adjustment related to prior year				1,600	1,600					
Income tax benefit/(expense) related to the items above	(1,009)			(2,005)	(2,861)	(142)				
Net income allocated to participating securities - effect on reconciling items	(15)			(20)	(43)	(3)				
Adjusted net income allocated to common stockholders	\$ 50,034	\$ 42,598	\$ 48,146	\$ 53,557	\$ 194,481	\$ 42,299	\$ -	\$ -	\$ -	\$ -
Reconciliation of GAAP Diluted EPS to Non-GAAP										
GAAP diluted earnings per common share	\$ 0.56	\$ 0.50	\$ 0.57	\$ 0.58	\$ 2.21	\$ 0.50				
Per share impact of items above	0.02			0.06	0.07	-				
Non-GAAP diluted earnings per common share	\$ 0.58	\$ 0.50	\$ 0.57	\$ 0.64	\$ 2.28	\$ 0.50	\$ -	\$ -	\$ -	\$ -
Reconciliation of GAAP Operating Margin to Non-GAAP										
GAAP operating revenue	\$ 157,885	\$ 143,942	\$ 148,910	\$ 166,487	\$ 617,225	\$ 142,839				
Non-GAAP adjustments noted above										
Adjusted operating revenue	\$ 157,885	\$ 143,942	\$ 148,910	\$ 166,487	\$ 617,225	\$ 142,839	\$ -	\$ -	\$ -	\$ -
GAAP operating income	\$ 82,038	\$ 69,716	\$ 75,084	\$ 86,962	\$ 313,801	\$ 69,553				
Non-GAAP adjustments noted above	2,530			1,863	4,393	-				
Adjusted operating income	\$ 84,568	\$ 69,716	\$ 75,084	\$ 88,825	\$ 318,194	\$ 69,553	\$ -	\$ -	\$ -	\$ -
Adjusted operating margin	53.6%	48.4%	50.4%	53.4%	51.6%	48.7%				

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Non-GAAP Information

- In addition to disclosing results determined in accordance with GAAP, CBOE Holdings has disclosed certain non-GAAP measures of operating performance. The non-GAAP measures provided in this presentation include core operating expenses, adjusted operating revenue, adjusted operating expenses, adjusted operating income, adjusted operating margin, adjusted effective tax rate, adjusted net income, adjusted net income allocated to common stockholders and adjusted diluted earnings per share.
- Management believes that the non-GAAP financial measures presented in this presentation, including adjusted net income and core operating expenses, provide useful and comparative information to assess trends in our core operations and a means to evaluate period-to-period comparisons. Non-GAAP financial measures disclosed by management, including adjusted diluted EPS, are provided as additional information to investors in order to provide them with an alternative method for assessing our financial condition and operating results. These measures are not in accordance with, or a substitute for, GAAP, and may be different from or inconsistent with non-GAAP financial measures used by other companies.
- Core operating expenses is the company's operating expenses after excluding (i) volume-based expenses, (ii) depreciation and amortization expense, (iii) accelerated stock-based compensation expense and (iv) other unusual or one-time expenses.



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